living compared to WPI. The people expectation about future inflation is also based on price level in the consumer market.

b. Demonetisation of Currency

Demonetisation of currency refers to the declaration that hereafter currencies of particular denominations are invalid. It suddenly reduces the money to the extent of money kept in those particular denominations. It is resorted to only in extreme cases.

c. Issue of New Currency

In this case all the money in circulation is withdrawn by the government and new currency is issued. The new currency of a single unit will be made equal to many units of old currency. For example new currency of one rupee will be made equal to ₹100 of old currency. So the money supply is reduced to 1/100th. This too is resorted only under extreme cases.

2. Fiscal Measures

a. Reduction in Unnecessary Expenditure

Reduction of unnecessary government expenditure means less demand from the government side. It brings down the price level.

b. Increase in Direct Taxes

Increase in direct taxes like income tax reduces the disposable income available with people. It means low demand from households. Less demand leads to lower price.

c. Decrease in Indirect Taxes